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## ECB set for June ‘insurance’ hike as energy shock raises policy risks

A June rate hike looks close to a done deal, but the ECB's path beyond that is far from straightforward. An energy crisis of uncertain duration, broadening inflation and adverse growth effects all make for tough policymaking. That raises the risk of a policy mistake, and we're expecting the central bank to tread carefully



We currently see a singular rate hike in June being used to demonstrate the ECB's willingness and determination to keep inflation expectations anchored

In two weeks, the European Central Bank will meet again, and a rate hike is starting to look close to a done deal. Back at the last meeting, ECB President Christine Lagarde added a touch of conditionality, stressing that higher energy prices showed some indirect effects but definitely no second-round effects yet.

The June meeting is expected to focus heavily on how higher energy prices and the war in the Middle East could affect – or are already affecting – inflation and inflation expectations. While ECB staff is busy tying up the last loose ends on a new set of forecasts for the June meeting, we've already had a peek at Lagarde's briefing note. Here it is.

### **Inflation remains a narrow shock so far, but will broaden soon**

The eurozone inflation rate came in lower than expected in April, and the composition of the

figures remained benign. The jump from 1.9% in February to 3% in April was mainly due to higher energy prices, with other components remaining benign.

Also, using alternative measures the ECB likes to look at to examine inflation from all possible angles, no warning signs of broadening inflation have yet been raised. 'Supercore' – a basket consisting just of the components of inflation most sensitive to economic activity – remains stable at a level around 2.5%; the trimmed mean, which excludes the components with the largest moves up and down, has increased but remains at historically modest levels. At the same time, however, looking at the main components of eurozone inflation in March and April, half already had an inflation rate of more than 2%.

Even if this week's May inflation data shows the first tentative signs of a broadening of inflationary pressures, which is likely, it will be so tentative that there is no need for a panic reaction.

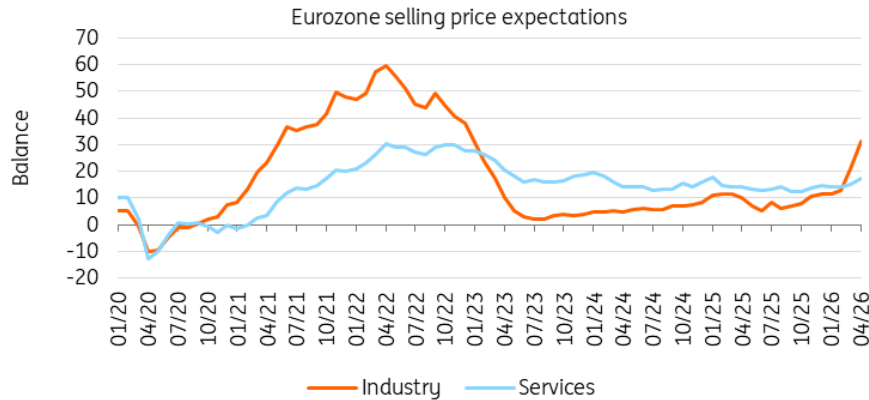
### **Indirect effects of the energy shock are set to become visible soon**

Still, as crucial as actual inflation data has become for monetary policy, particularly in times of high uncertainty, it's a bit like steering your car by only looking in the rearview mirror – risky.

Looking further ahead, the latest producer price data suggests that input costs are on the rise, with certain critical inputs for the production process facing possible shortages. The number of industrial companies expecting to increase selling prices in the months ahead has risen sharply in recent months. In fact, a first inflation wave is already in full swing – one that remains mainly limited to energy prices, but is gradually broadening. It won't be long before higher energy prices lead to knock-on effects on transportation and food costs.

Needless to say, the longer the war in the Middle East and the blockade of the Strait of Hormuz persist, the higher the likelihood that the initial energy price shock will not only have knock-on effects but could also be accompanied by additional supply chain frictions and, in turn, a self-enhancing inflationary spiral.

## Selling price expectations have surged since the Middle East war started

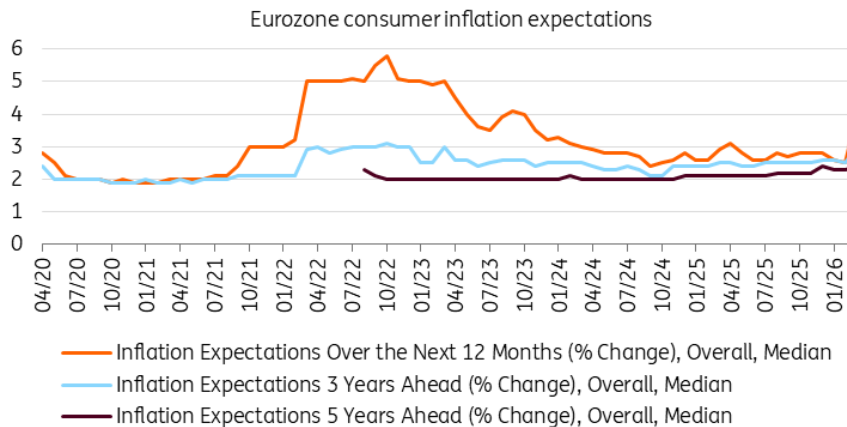


Source: European Commission DGECFIN

Some indirect effects are gradually unfolding, but the question is whether they will also lead to higher inflation expectations. Inflation expectation measures have already started to crawl up. The ECB's own consumer survey showed one-year-ahead inflation moving to 4% in April, from 2.5% in March, while five-year-ahead inflation only saw a marginal increase (to 2.4% from 2.3%).

To see a more fundamental shift in longer-term consumer inflation expectations, businesses need to be able to pass higher costs onto the consumer. The May PMI indicated a much smaller increase in selling prices than in input costs, which suggests that the current lukewarm economic environment may make it harder to pass on price increases to consumers. This would suggest more of a squeeze in margins for eurozone businesses, differing across sectors and countries.

## Consumers see medium-term inflation expectations increasing quickly



Source: European Commission DGEFIN

And how about the economy? Is it performing strongly enough to expect a broader uptick in inflation? The output gap – the difference between actual and potential output – provides some insight into whether the economy is overheated or underperforming. While this measure has been a subject of debate (and frequently revised) over time, the current reading suggests that the economy is not overheating nor underperforming at the moment. This is also supported by the number of companies indicating that they are experiencing demand or supply problems as their largest limit to production. This is roughly balanced according to the European Commission's surveys. In short, the economy is roughly ticking along at potential.

But the latest data has not been very positive. The May PMI weakened with output softening, businesses shunning hiring and new orders dropping. While we have seen this before without a recession emerging, we do take this as a signal of weakening conditions for the business economy.

## Fiscal policy matters

Back in April, President Lagarde already talked about the crucial role fiscal policy plays in both tackling the energy shock and shaping the inflation outlook. In 2022, eurozone governments introduced some 500 individual measures to tackle the energy price shock. Think of price caps, subsidies, tax cuts or all of the above. At the current juncture, fiscal support has so far been modest. In 2022, fiscal support amounted to more than 3% of GDP in the eurozone; we are currently at hardly 0.2% of GDP. Unless this changes, the likelihood of a 2022 rerun, as well as the chances of an unstoppable inflation spiral, remain low.

All in all, the available data so far points to a mild stagflationary impact of the war in the Middle East on the eurozone economy. The duration of the war and oil prices have clearly moved away from the ECB's March baseline scenario. At the same time, however, the duration

of the war is subject to high uncertainty, both towards the positive and the negative. Interestingly, despite a much longer-lasting war, oil prices have remained below what many had feared in a more adverse scenario. For the ECB meeting, the slight increase in inflation should not trigger any panic but high alertness. In the past, the ECB would have called it 'vigilance'.

### **A hike in two weeks but more hikes not necessarily needed**

With this vigilance, the main question for the ECB will be whether to go for a preemptive insurance hike or stay put. Market expectations have already tightened the monetary policy stance in recent weeks. Real long-term interest rates, for example, are at levels last seen in the period between 2013 and 2016. It is these market expectations that are likely to shift the needle towards a rate hike. We have been there before – an ECB stressing that not delivering on market expectations would actually ease the monetary policy stance.

A tighter monetary policy stance and creeping inflationary pressure are why we think that a rate hike is almost a done deal. Isabel Schnabel's comments earlier this week confirmed the direction of travel. In fact, it would probably require another sharp deterioration in economic sentiment for the ECB not to hike. Even if the war in the Middle East were to end tomorrow, the damage to inflation has already been done. Inflation has started – and will continue – to hit the eurozone economy. The only question is whether it will fall in the category of 'transitory' or whether supply chain disruptions could create more knock-on effects than 'only' on transportation and food prices. Given the 2022 experience, the ECB is likely to opt for an 'insurance' rate hike. Not that a rate hike will do a lot to affect inflation expectations, but it would be a symbolic move, stressing the ECB's determination to act.

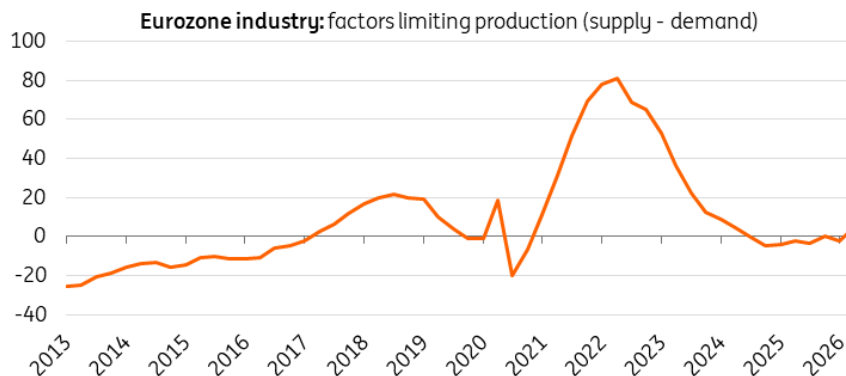
What's even more interesting is what will happen beyond the June meeting. Markets have started to price in a total of three rate hikes. However, as long as fiscal stimulus remains muted, the risk of an outright inflationary spiral remains small, making an aggressive monetary policy reaction to the current energy price shock unlikely. In fact, even if it's still in the ECB's institutional memory, the comparison with 2022 doesn't quite hold: back then, the eurozone economy entered a post-lockdown boom, there was substantial fiscal stimulus, higher inflation rates and a much looser monetary policy stance.

For us, the better reference period for the ECB remains the 2011 experience. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than they are currently – to tackle rising inflationary pressure, only to discover that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

For now, we only see one insurance rate hike in June being used to demonstrate the ECB's

willingness and determination to keep inflation expectations anchored. As long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it's hard to imagine that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn.

### Companies don't indicate signs of overheating



Source: European Commission DGEFIN, ING Research

European Commission. Weighted share of companies indicating the factor limiting production. Supply is a combination of labour, equipment and other factors.

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